

FINDING VALUE

● Gold-silver ratio shows silver is a bit overvalued

Year (Ending Mar 31)	Gold (MCX ₹/10g)	Silver (MCX ₹/kg)	Gold-Silver Ratio	Key Market Context
● 2021	₹48,700	₹63,600	76.6	Post-Covid liquidity surge
● 2022	₹52,000	₹62,900	82.7	Ukraine war; gold regains safe-haven role
● 2023	₹60,000	₹74,000	81.1	Banking stress; fear hedge
● 2024	₹73,900	₹95,700	77.2	Inflation peak; industrial demand revival
● 2025	₹91,200	₹1,03,900	87.7	Central-bank buying dominates
● Jan 29, 2026 (Peak)	₹1,05,000	₹1,95,000	53.8	Metals melt-up; speculative excess
● Feb 3, 2026 (Now)	₹98,500	₹1,73,000	56.9	Sharp de-risking; volatility returns

SOURCE MCX

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grid infrastructure. This makes it more sensitive to economic cycles. It tends to outperform gold during growth upswings and underperform sharply during slowdowns. Silver, therefore, adds volatility, but also optional upside linked to the energy transition and manufacturing cycles.

CORE AND SATELLITE

Although both are precious metals, gold and silver are driven by distinct fundamentals. “Gold remains primarily a monetary asset, influenced by real interest rates, central bank demand, and global risk sentiment, making it suitable as the core defensive allocation within a portfolio,” says Prasanna Pathak, Deputy CEO, The Wealth Company Mutual Fund.

Silver, by contrast, has a dual character. While it retains some safe-haven attributes, a significant

part of its demand is driven by industrial applications—particularly in electronics, electric vehicles, and renewable energy infrastructure. This makes it more volatile and sensitive to economic growth and technology investment trends. “Within a portfolio, silver is better treated as a tactical or satellite exposure, offering cyclical upside during periods of reflation rather than primary insurance. Within the precious metals bucket, silver should comprise 20-30% (favouring gold for stability), held with a 2+ year horizon to capture the structural bull market. Gold can anchor the remaining 70-80%,” says Katke.

One of the better ways of deciding the allocation is the gold-silver ratio. It indicates how many ounces of silver are required to purchase one ounce of gold. The ratio is

calculated by dividing the price of gold by the price of silver. On February 3, it was 56. “The gold-silver ratio plunged from 103.5, to as low as 45, a period where silver outperformed gold, but bounced back again to 60. So, if the ratio is holding around historic lows, it’s time to buy more gold/less silver, and if it’s near historic highs, it’s time to increase silver holdings/reduce gold,” says Pranav Mer, Vice President, EBG - Commodity & Currency Research, JM Financial.

LIFE-STAGE ALLOCATION

“For first-time earners, whose dominant goal is long-term growth and they are still accumulating capital, precious metals should play a limited stabilising role. An allocation of 5-7% of the overall portfolio is typically sufficient, with a strong bias towards gold over silver, as